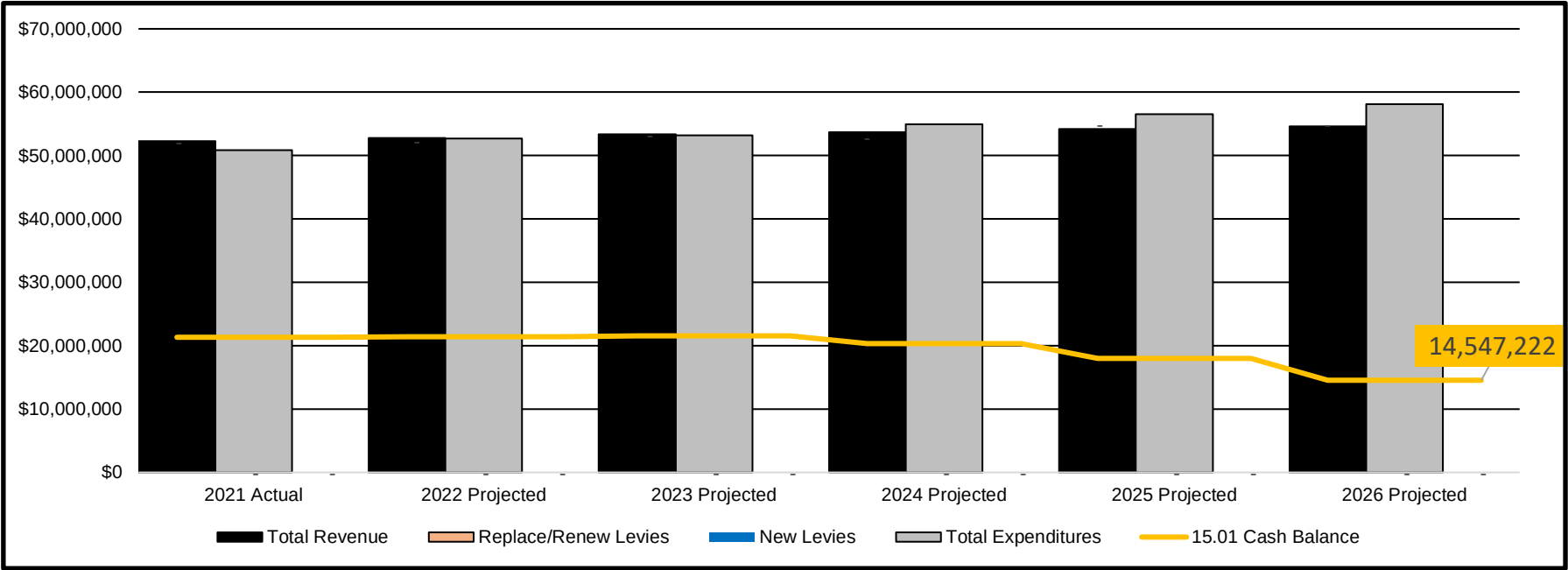


Brecksville-Broadview Heights City School
District

**Five Year Forecast
Financial Report**

November, 2021

Forecast Summary



Note: Cash balance (Line 7.020) plus any existing levy modeled as renewed or new during the forecast.

Financial Forecast	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Fiscal Year 2026
Beginning Balance (Line 7.010) Plus	21,292,363	21,399,129	21,547,147	20,334,230	18,002,758
+ Revenue	52,768,710	53,340,635	53,708,785	54,175,191	54,619,719
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(52,661,944)	(53,192,616)	(54,921,703)	(56,506,663)	(58,075,255)
= Revenue Surplus or Deficit	106,766	148,019	(1,212,917)	(2,331,472)	(3,455,536)
Line 7.020 Ending Balance with renewal/new levies	21,399,129	21,547,147	20,334,230	18,002,758	14,547,222

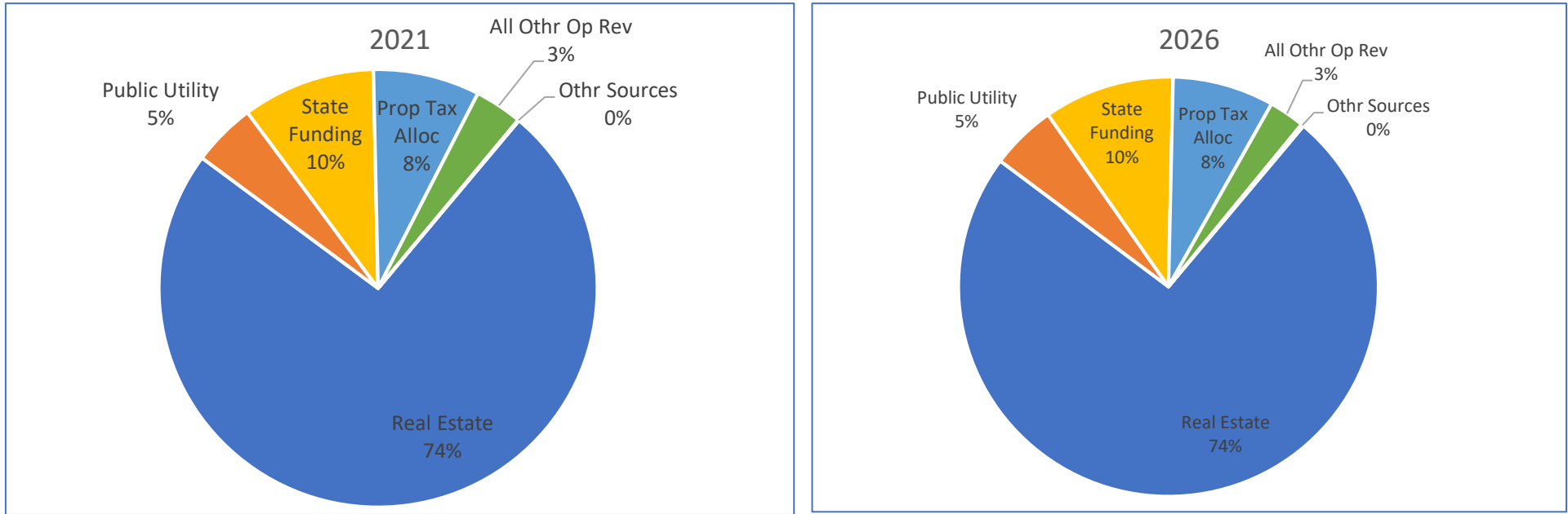
Analysis Without Renewal Levies Included:

Revenue Surplus or Deficit w/o Levies	106,766	148,019	(1,212,917)	(2,331,472)	(3,455,536)
Ending Balance w/o Levies	21,399,129	21,547,147	20,334,230	18,002,758	14,547,222

In FY 2022 a revenue surplus is expected. This means that expenditures are expected to be less than revenue by -\$106,766 in FY 2022. By the last year of the forecast, FY 2026, the district is expected to have a revenue shortfall where expenditures are projected to be greater than revenue by \$3,455,536. The district would need to cut its FY 2026 projected expenses by 5.95% in order to balance its budget without additional revenue.

The district's cash balance is positive at year-end in FY 2022 and is projected to worsen by FY 2026. A worsening cash balance can erode the district's financial stability over time.

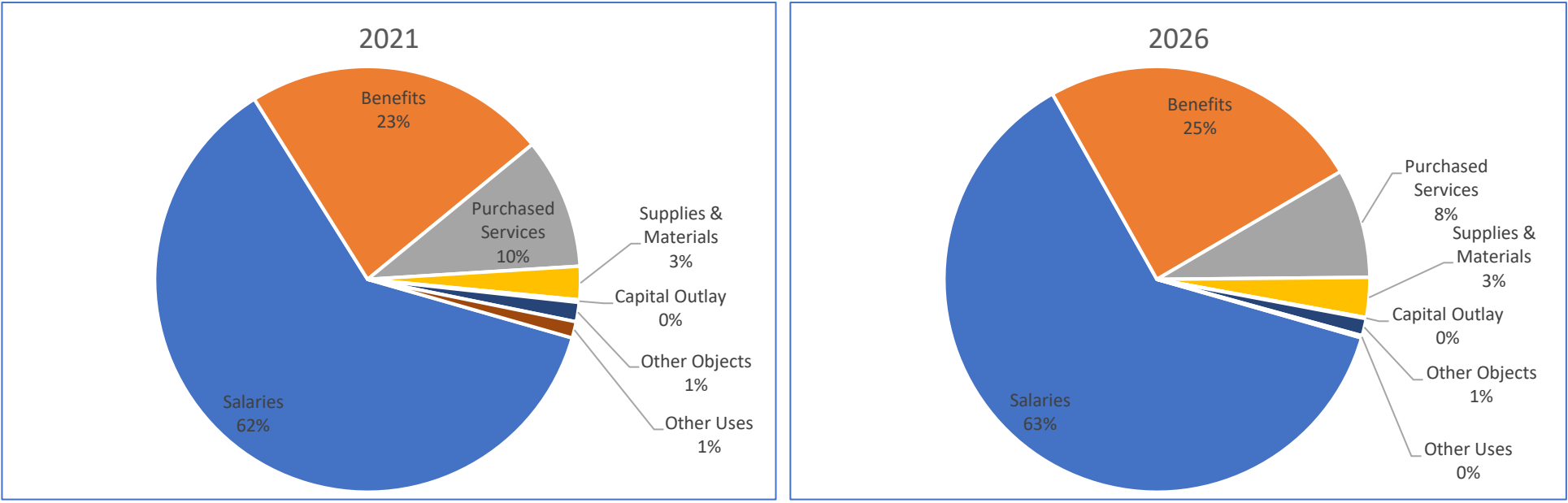
Revenue Overview



	Prev. 3-Year Avg. Annual Change	PROJECTED					5-Year Avg. Annual Change
		Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Fiscal Year 2026	
Revenue:							
Real Estate	2.02%	1.97%	0.85%	0.44%	0.66%	0.61%	0.89%
Public Utility	3.64%	2.53%	2.51%	2.43%	2.39%	2.33%	2.38%
Income Tax	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
State Funding	-2.82%	-2.43%	3.06%	2.24%	2.15%	2.06%	1.40%
Property Tax Allocation	-1.89%	1.14%	1.08%	0.33%	0.59%	0.59%	0.74%
All Other Revenue	2.79%	-17.91%	0.00%	0.00%	0.00%	0.00%	-4.36%
Other Sources	-20.41%	238.35%	-19.90%	0.00%	0.00%	0.00%	12.02%
Total Revenue W/Other Sources	1.14%	0.97%	1.08%	0.69%	0.87%	0.82%	0.88%

Total revenue increased 1.14% or \$593,618 annually during the past five years and is projected to increase 0.88% or \$471,508 annually through FY2026. Real Estate has the most projected average annual variance compared to the historical average at -\$409,153

Expenditure Overview



	Prev. 3-Year Avg. Annual Change	PROJECTED					5-Year Avg. Annual Change
		Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Fiscal Year 2026	
Expenditures:							
Salaries	1.74%	6.17%	0.25%	3.25%	2.69%	2.49%	2.84%
Benefits	3.93%	4.57%	1.20%	5.17%	5.05%	5.00%	4.05%
Purchased Services	4.25%	-10.36%	6.08%	0.11%	0.04%	0.12%	-0.99%
Supplies & Materials	10.41%	36.81%	0.00%	0.00%	0.00%	0.00%	5.38%
Capital Outlay	4.70%	-48.57%	0.00%	0.00%	0.00%	0.00%	-18.89%
Intergov & Debt	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Other Objects	-3.24%	2.13%	0.00%	0.00%	0.00%	0.00%	0.42%
Other Uses	16.76%	-88.14%	33.33%	0.00%	0.00%	0.00%	-112.12%
Total Expenditure/Other Srces	2.76%	3.59%	1.01%	3.25%	2.89%	2.78%	2.63%

Total expenditures increased 2.76% or \$1,382,086 annually during the past five years and is projected to increase 2.85% or \$1,447,642 annually through FY2026. Salaries has the largest projected average annual variance compared to the historical average at \$440,775.

Brecksville-Broadview Heights City School District
Five Year Forecast

	Actual	FORECASTED				
	2021	2022	2023	2024	2025	2026
1.010 - General Property Tax (Real Estate)						
1.020 - Public Utility Personal Property	38,695,637	39,458,665	39,794,582	39,970,955	40,235,738	40,481,569
1.030 - Income Tax	2,448,994	2,510,852	2,573,787	2,636,332	2,699,269	2,762,156
1.035 - Unrestricted Grants-in-Aid	-	-	-	-	-	-
1.040 - Restricted Grants-in-Aid	4,831,990	4,148,234	4,336,762	4,485,182	4,635,035	4,779,290
1.050 - Property Tax Allocation	299,714	858,962	823,581	790,525	754,287	720,809
1.060 - All Other Operating Revenues	4,113,356	4,160,291	4,205,061	4,218,929	4,244,000	4,269,033
1.070 - Total Revenue	1,835,593	1,506,862	1,506,862	1,506,862	1,506,862	1,506,862
Other Financing Sources:	52,225,284	52,643,866	53,240,635	53,608,785	54,075,191	54,519,719
2.010 - Proceeds from Sale of Notes						
2.020 - State Emergency Loans and Adv	-	-	-	-	-	-
2.040 - Operating Transfers-In	-	-	-	-	-	-
2.050 - Advances-In	-	-	-	-	-	-
2.060 - All Other Financing Sources	-	-	-	-	-	-
2.070 - Total Other Financing Sources	36,898	124,844	100,000	100,000	100,000	100,000
2.080 - Total Rev & Other Sources	36,898	124,844	100,000	100,000	100,000	100,000
Expenditures:	52,262,181	52,768,710	53,340,635	53,708,785	54,175,191	54,619,719
3.010 - Personnel Services						
3.020 - Employee Benefits	31,330,176	33,262,718	33,345,880	34,430,481	35,356,515	36,235,365
3.030 - Purchased Services	11,689,970	12,223,979	12,370,846	13,010,175	13,667,022	14,350,953
3.040 - Supplies and Materials	5,055,890	4,532,162	4,807,805	4,812,961	4,815,040	4,820,851
3.050 - Capital Outlay	1,284,739	1,757,648	1,757,648	1,757,648	1,757,648	1,757,648
Intergovernmental & Debt Service	101,099	51,998	51,998	51,998	51,998	51,998
4.300 - Other Objects	-	-	-	-	-	-
4.500 - Total Expenditures	742,607	758,440	758,440	758,440	758,440	758,440
Other Financing Uses	50,204,481	52,586,944	53,092,616	54,821,703	56,406,663	57,975,255
5.010 - Operating Transfers-Out						
5.020 - Advances-Out	632,564	75,000	100,000	100,000	100,000	100,000
5.030 - All Other Financing Uses	-	-	-	-	-	-
5.040 - Total Other Financing Uses	-	-	-	-	-	-
5.050 - Total Exp and Other Financing Uses	632,564	75,000	100,000	100,000	100,000	100,000
	50,837,046	52,661,944	53,192,616	54,921,703	56,506,663	58,075,255
6.010 - Excess of Rev Over/(Under) Exp						
	1,425,136	106,766	148,019	(1,212,917)	(2,331,472)	(3,455,536)
7.010 - Cash Balance July 1 (No Levies)						
7.020 - Cash Balance June 30 (No Levies)	19,867,227	21,292,363	21,399,129	21,547,147	20,334,230	18,002,758
	21,292,363	21,399,129	21,547,147	20,334,230	18,002,758	14,547,222
8.010 - Estimated Encumbrances June 30		Reservations				
9.080 - Reservations Subtotal	-	150,000	150,000	150,000	150,000	150,000
10.010 - Fund Bal June 30 for Cert of App	-	-	-	-	-	-
Rev from Replacement/Renewal Levies	21,292,363	21,249,129	21,397,147	20,184,230	17,852,758	14,397,222
11.010 & 11.020 - Renewal Levies						
11.030 - Cumulative Balance of Levies		-	-	-	-	-
12.010 - Fund Bal June 30 for Cert of Obligations	-	-	-	-	-	-
Revenue from New Levies	21,292,363	21,249,129	21,397,147	20,184,230	17,852,758	14,397,222
13.010 & 13.020 - New Levies						
13.030 - Cumulative Balance of New Levies		-	-	-	-	-
15.010 - Unreserved Fund Balance June 30	-	-	-	-	-	-
	21,292,363	21,249,129	21,397,147	20,184,230	17,852,758	14,397,222